

- it that the strategy will continue to give better than market risk-adjusted returns?
- 2 Does the approach hold up under rigorous backtesting? Does it show robustness by being consistent across multiple markets and/or different periods?
 - 3 Anomalies often show a decrease in profitability over time due to increases in trading activity.⁶ Are strategy transaction costs and fund expense ratios low enough so the approach can hold up to possible declining gross profits?
 - 4 Is volatility of the strategy within a reasonable range? The marketplace may not compensate high volatility. High volatility may also contribute to greater tracking error.
 - 5 Is there decent liquidity in whatever investment vehicles are available for this strategy?

Once an appropriate strategy is found, one needs to review it on a regular basis. What makes sense now may no longer make sense a year or two from now. Rather than deal with all this complexity and uncertainty, for most investors, simply using traditional capitalization-weighted indexes is most likely a better approach. In support of this, West and Larson (2014) of Research Affiliates wrote that smart beta earns around 2% more than market-cap indexes, and it is not the weighting method but rebalancing that creates most of that excess return. Booth and Fama (1992) showed in general that mean reversion rebalancing profits lead to annual profits of 2% over benchmark portfolios. Smart beta investors may therefore be able to capture the same incremental returns from just a rebalanced stock/bond or sector portfolio.

DOES SIZE REALLY MATTER?

Because many smart beta strategies attempt to pick up size and/or value premia, it might be useful to see how strong the size and value premia themselves really are. A number of researchers have shown that the small-